

1. What variable does not cause the AD curve to shift?

Choose the correct answer below.

- ☐ A. Household expectations of future incomes
- ☐ B. Interest rates
- ☐ C. Personal income taxes
- ☒ D. Price level

Increases in personal income taxes or business taxes will make the aggregate demand curve shift to the left .

2.

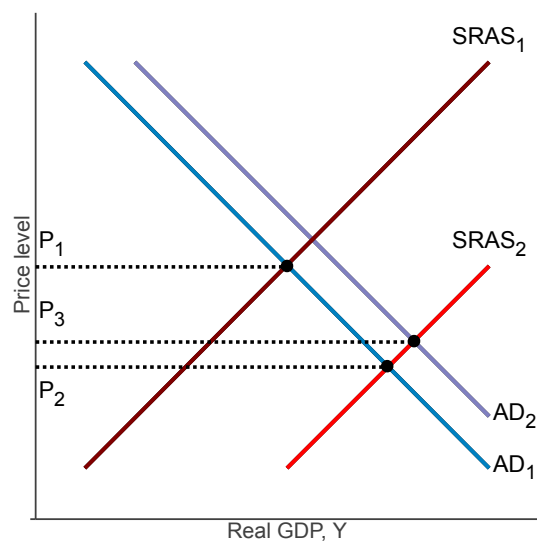
A student was asked to draw an aggregate demand and aggregate supply graph¹ to illustrate the effect of an increase in aggregate supply. The student drew the following graph:

The student explained the graph as follows:

"An increase in aggregate supply causes a shift from $SRAS_1$ to $SRAS_2$. Because this shift in the aggregate supply curve results in a lower price level, consumption, investment, and net exports will increase. This change causes the aggregate demand curve to shift to the right from AD_1 to AD_2 . We know that real GDP will increase, but we can't be sure whether the price level will rise or fall because that depends on whether the aggregate supply curve or the aggregate demand curve has shifted farther to the right. I assume that aggregate supply shifts out farther than aggregate demand, so I show the final price level, P_3 , as being lower than the initial price level, P_1 ."

Which of the following is a correct statement about the student's analysis?

- ☐ A. The student is incorrect because the price level should rise when $SRAS$ increases.
- ☐ B. The student is incorrect because the aggregate demand curve should decrease, not increase.
- ☒ C. The student is incorrect because the aggregate demand curve does not shift because of the price level change.
- ☐ D. The student's analysis is correct.



1: Definition

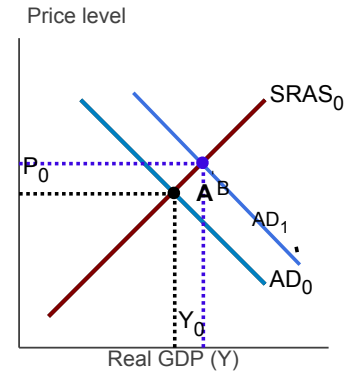
Aggregate demand and aggregate supply model A model that explains short-run fluctuations in real GDP and the price level.

3. The following graph shows aggregate demand and short-run aggregate supply.

1.) Use the line drawing tool to show the effect of an increase in investor optimism. Properly label this line.

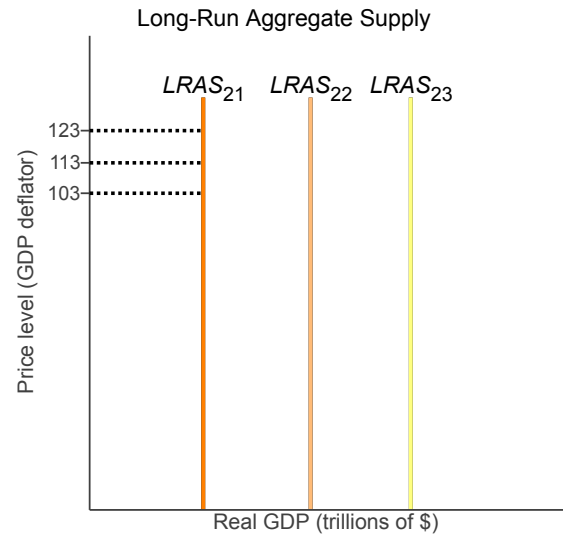
2.) Use the point drawing tool to show the new equilibrium price level and real GDP. Label this point 'B'.

Carefully follow the instructions above, and only draw the required objects.



4. How does a decrease in the price level affect the quantity of real GDP supplied in the long run?

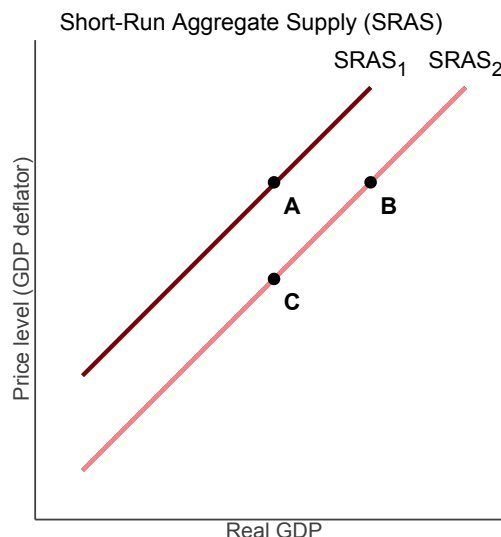
- ☐ A. In the long run, a decrease in the price level decreases inflation, which will decrease real GDP.
- ☒ B. Changes in the price level do not affect the level of GDP in the long run.
- ☐ C. In the long run, a decrease in the price level increases inflation, which will decrease real GDP.
- ☐ D. In the long run, a decrease in the price level will increase real GDP.



5. Which of the following events would cause a movement along the short-run aggregate supply curve?

- ☒ A. a decrease in the price level
- ☐ B. expectations that the price level will increase in the future
- ☐ C. an increase in net exports
- ☐ D. an increase in the capital stock

6. An increase in the labor force or capital stock is illustrated as a shift from A to B .
- An increase in the expected price of an important natural resource is indicated by a shift from B to A .
- An improvement in technology is shown as a shift from A to B .
- An increase in the expected future price level causes a shift from B to A .



7. Which of the following events would cause an increase in aggregate demand?

- ☐ A. an increase in taxes
- ☐ B. a decrease in the price level
- ☐ C. a decrease in consumption
- ☒ D. a decrease in taxes

8. What variable does not cause the long-run aggregate supply curve to shift?

Choose the correct answer below.

- ☒ A. Change in the price level.
- ☐ B. Change in the amount of physical capital .
- ☐ C. Change in the labour force.
- ☐ D. The available technology.

More capital accumulation will cause the long-run aggregate supply curve to shift to the right .

9. Consider the following cases to figure out which one of the following variables causes the short-run aggregate supply curve to shift, and identify whether an increase in that variable will cause the short-run aggregate supply curve to shift to the right or to the left.

The SRAS curve will shift to the right if there is an increase in the labor force or capital accumulation .

The SRAS curve will shift to the right if there is an increase in productivity .

The SRAS curve will shift to the right if there is a technological change .

The SRAS curve will shift to the left if there is an increase in the expected price of an important natural resource .

The SRAS curve will shift to the left if there is an increase in the adjustment of workers' and firms' prior underestimation of the price level .

The SRAS curve will shift to the left if there is an increase in expected future prices .

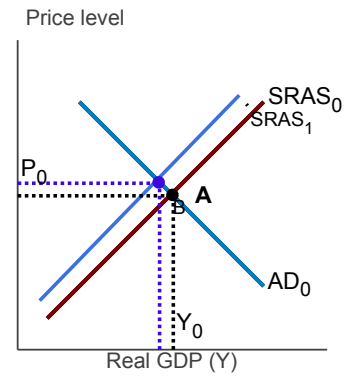
10.

The following graph shows aggregate demand and short-run aggregate supply.

1.) Use the line drawing tool to show the effect of an adjustment of workers and firms to a higher than expected price level. Properly label this line.

2.) Use the point drawing tool to show the new equilibrium price level and real GDP. Label this point 'B'.

Carefully follow the instructions above, and only draw the required objects.



11. Which one of the following is **not** true when the economy is in macroeconomic equilibrium?

- ☒ A. When the economy is at long-run equilibrium, firms will have excess capacity.
- ☐ B. When the economy is at long-run equilibrium, $SRAS = AD = LRAS$.
- ☐ C. When the economy is at long-run equilibrium, actual GDP = potential GDP.
- ☐ D. When the economy is at long-run equilibrium, total unemployment = frictional unemployment + structural unemployment.

12.

The graph on the right shows the economy in long-run equilibrium at point A.

Assume that there is a large increase in demand for Canadian exports.

1.) Use the line drawing tool to show the resulting short-run equilibrium on your graph. Label any new aggregate demand or aggregate supply curve as AD_2 , $SRAS_2$ or $LRAS_2$ as appropriate.

2.) Use the point drawing tool to locate the new short-run equilibrium point. Label this point B.

Now consider the adjustment of the economy back to long-run equilibrium.

3.) Use the line drawing tool to show the resulting long-run equilibrium on your graph. Label any new aggregate demand or aggregate supply curve appropriately.

4.) Use the point drawing tool to locate the new long-run equilibrium point. Label this point C.

Carefully follow the instructions above, and only draw the required objects.

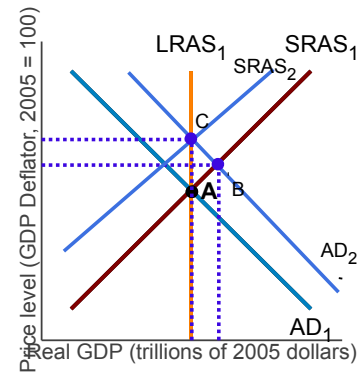
At the new short run equilibrium, the unemployment rate will be lower compared to the unemployment rate at the initial equilibrium, prior to the increase in exports.

Which of the following best explains how the economy will adjust back to long-run equilibrium?

- ☐ A. Aggregate demand will increase, restoring the original equilibrium price and quantity.
- ☒ B. Short-run aggregate supply will decrease (shift leftward) as firms and workers adjust to the new price level.
- ☐ C. Aggregate demand will decrease, restoring the original equilibrium price and quantity.
- ☐ D. Short-run aggregate supply will increase (shift rightward) as firms and workers adjust to the new price level.

At the new long-run equilibrium,

- ☐ A. real GDP and the price level will be higher but the unemployment rate will remain the same compared to the initial equilibrium, prior to the increase in exports.
- ☐ B. real GDP and price level will be higher and the unemployment rate will be lower compared to the initial equilibrium, prior to the increase in exports.
- ☐ C. real GDP, the unemployment rate and the price level all will remain the same compared to the initial equilibrium, prior to the increase in exports.
- ☒ D. real GDP and the unemployment rate will remain the same, but price level will be higher compared to the initial equilibrium, prior to the increase in exports.



13.

The graph on the right shows a basic aggregate demand and aggregate supply graph (with $LRAS$ constant) that shows the economy in long-run equilibrium at point A.

Assume that there is an unexpected increase in the price of oil.

1.) Use the line drawing tool to show the resulting short-run equilibrium on your graph. Label any new aggregate demand or aggregate supply curve as AD_2 , $SRAS_2$ or $LRAS_2$ as appropriate.

2.) Use the point drawing tool to locate the new short-run equilibrium point. Label this point B.

Carefully follow the instructions above, and only draw the required objects.

In the new short-run equilibrium, the unemployment rate is higher than it was before the increase in the price of oil.

Which of the following best explains how and why the economy will adjust back to long-run equilibrium?

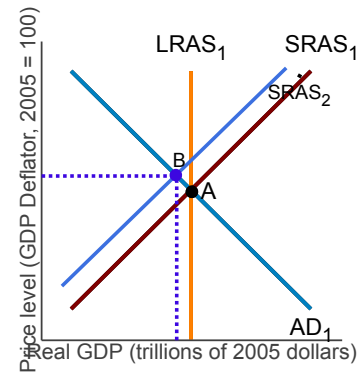
- ☐ A. Aggregate demand will decrease, restoring the original equilibrium price and quantity.
- ☒ B. Short-run aggregate supply will increase (shift rightward) as the recession makes firms and workers willing to accept lower wages and prices.
- ☐ C. Short-run aggregate supply will decrease (shift leftward) as firms and workers adjust to the new, higher price level.
- ☐ D. Aggregate demand will increase, restoring the original equilibrium price and quantity.

After the adjustment of aggregate supply is complete, the economy returns to equilibrium at

- ☒ A. A.
- ☐ B. a point lower than (i.e., south-east of) A.
- ☐ C. B.
- ☐ D. in between points A and B.

When the economy has adjusted back to longrun equilibrium,

- ☐ A. real GDP will be lower and the unemployment rate and the price level will be higher compared to the initial equilibrium value prior to the increase in price of oil.
- ☐ B. the unemployment rate will be the same, but real GDP will be lower and the price level higher compared to the initial equilibrium value prior to the increase in the price of oil.
- ☐ C. real GDP and the unemployment rate will be the same but the price level will be higher compared to the initial equilibrium value prior to the increase in the price of oil.
- ☒ D. real GDP, the unemployment rate, and the price level will be the same as the initial equilibrium values prior to the increase in the price of oil.



14.

Use the graph on the right to answer the following questions.

a. Which of points A, B, C, or D can represent a long-run equilibrium?

- ☒ A and C ☐ D
☐ A and B ☐ B and D
☐ B ☐ A, B, C, and D

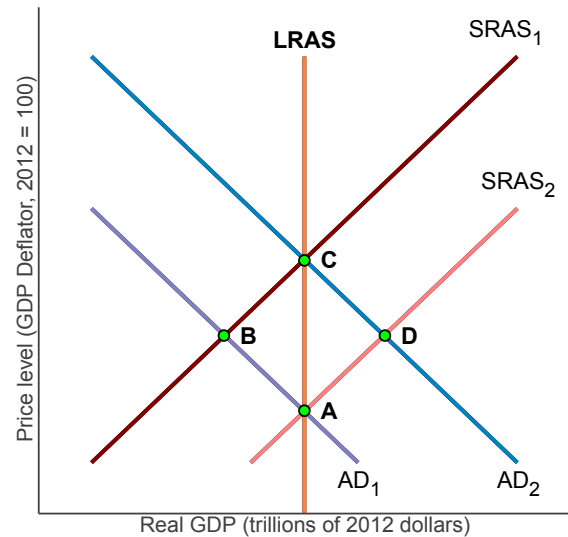
b. Suppose that initially the economy is at point A. Then aggregate demand increases from AD_1 to AD_2 .

The new short-run equilibrium will be at point D.

The long-run equilibrium point will be at point C.

Which of the following best explains how the economy will adjust from the short-run equilibrium point to the new long-run equilibrium point?

- ☐ A. Due to the recession, workers and firms will be willing to accept lower wages and prices and AD will shift to the left to point B.
- ☒ B. Due to the higher price level, workers will demand higher wages, and firms will raise prices and cause SRAS to shift to the left to point C.
- ☐ C. Due to the higher price level, consumption and investment spending will decrease and the economy will be at B.
- ☐ D. Due to the lower price level, firms and workers will be willing to accept lower wages and prices and SRAS will shift to the right further.



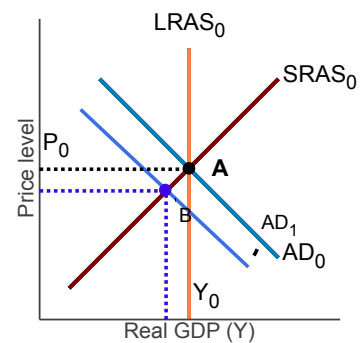
15.

The following graph shows aggregate demand and short-run aggregate supply.

1.) Use the line drawing tool to show the short-run effect of consumers becoming more pessimistic. Properly label this line.

2.) Use the point drawing tool to show the new equilibrium price level and real GDP. Label this point 'B'.

Carefully follow the instructions above, and only draw the required objects.



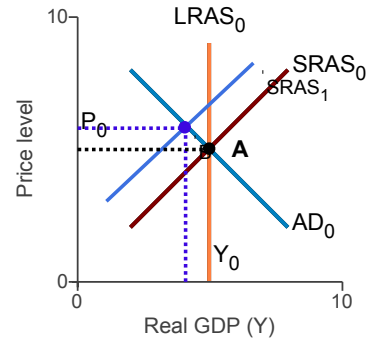
16.

The following graph shows aggregate demand and short-run aggregate supply.

1.) Use the line drawing tool to show the effect of an unexpected increase in the price of oil. Properly label this line.

2.) Use the point drawing tool to show the new equilibrium price level and real GDP. Label this point 'B'.

Carefully follow the instructions above, and only draw the required objects.



17. In the dynamic aggregate demand and aggregate supply model, if aggregate demand increases faster than potential real GDP, there will be inflation .

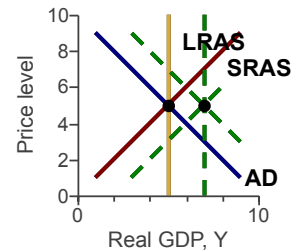
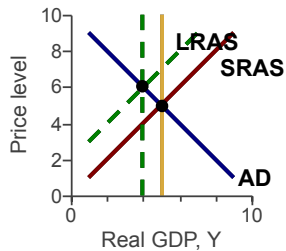
In the dynamic aggregate demand and aggregate supply model, if aggregate demand increases slower than potential real GDP, there will be recession .

18. Suppose that the economy grows from 2025 to 2026 without inflation.

Which of the following graphs correctly shows this situation? (Note: 2026 positions are shown with green dashed lines.)

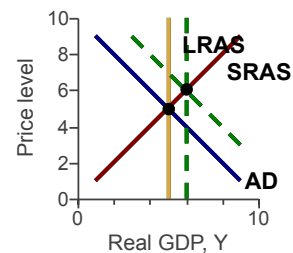
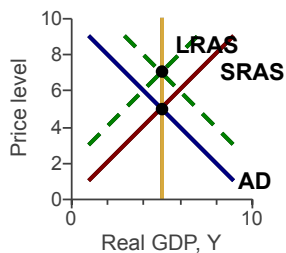
☐ A.

☒ B.



☐ C.

☐ D.



To have growth without inflation, which of the following must be true?

☐ A. There must be no change in AD.

☐ B. There must be no change in SRAS.

☒ C. AD, SRAS, and LRAS must increase by the same amount.

☐ D. Potential GDP must remain constant.

☐ E. AD must decrease to reduce inflationary pressure.

19.

Suppose the economy moves from point **A** in year 1 to point **B** in year 2.

a. The growth rate of potential GDP from year 1 to year 2 is

%. (Enter your response rounded to two decimal places.)

b. The unemployment rate in year 2 is greater than in year 1.

c. The inflation rate in year 2 is %. (Enter your response rounded to two decimal places.)

d. The growth rate of real GDP from year 1 to year 2 is

%. (Enter your response rounded to two decimal places.)

